

Investors who for some time have been following a bona fide dollar-cost averaging plan can in logic elect either to continue their periodic purchases unchanged or to suspend them until they feel the market level is no longer dangerous. We should advise rather strongly against the initiation of a new dollar-averaging plan at the late 1964 levels, since many investors would not have the stamina to pursue such a scheme if the results soon after initiation should appear highly unfavorable.

This time we can say that our caution was vindicated. The DJIA advanced about 11% further, to 995, but then fell irregularly to a low of 632 in 1970, and finished that year at 839. The same kind of debacle took place in the price of “hot issues”—i.e., with declines running as much as 90%—as had happened in the 1961–62 setback. And, as pointed out in the Introduction, the whole financial picture appeared to have changed in the direction of less enthusiasm and greater doubts. A single fact may summarize the story: The DJIA closed 1970 at a level lower than six years before—the first time such a thing had happened since 1944.

Such were our efforts to evaluate former stock-market levels. Is there anything we and our readers can learn from them? We considered the market level favorable for investment in 1948 and 1953 (but too cautiously in the latter year), “dangerous” in 1959 (at 584 for DJIA), and “too high” (at 892) in 1964. All of these judgments could be defended even today by adroit arguments. But it is doubtful if they have been as useful as our more pedestrian counsels—in favor of a consistent and controlled common-stock policy on the one hand, and discouraging endeavors to “beat the market” or to “pick the winners” on the other.

Nonetheless we think our readers may derive some benefit from a renewed consideration of the level of the stock market—this time as of late 1971—even if what we have to say will prove more interesting than practically useful, or more indicative than conclusive. There is a fine passage near the beginning of Aristotle’s *Ethics* that goes: “It is the mark of an educated mind to expect that amount of exactness which the nature of the particular subject admits. It is equally unreasonable to accept merely probable conclusions from a mathematician and to demand strict demonstration from an orator.” The work of a financial analyst falls somewhere in the middle between that of a mathematician and of an orator.